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Volume XXXIV Number 29; For the week
July 14-20, 2009, released on July 13

• Editorial Office Living Media India Ltd. F-14/15, Connaught Place New Delhi

110001; Phones: 23315801-4; Fax: 23316180; Cable: Livmedia, New Delhi

• Subscriptions: For assistance contact Customer Care India Today Group, A-61,

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BSNL/MTNL lines); (95120) 2479900 from Delhi and Faridabad; (0120) 2479900

from Rest of India (Monday-Friday, 10 a.m.-6 p.m.); Fax: (0120) 4079080;

e-mail: wecare@indiatoday.com; Mumbai: 022-2444423-6; Fax: 24444355 • Sales:

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India Ltd. Printed at Thomson Press India Ltd., 18-35 Milestone, Delhi Mathura

Road, Faridabad-121007, (Haryana); A-9, Industrial Complex, Maraimalai

Nagar, district Kancheepuram-603209, (Tamil Nadu); and at Plot No. 5-5A,

TTC Industrial Area, Thane, Belapur Road, Airoli, Navi Mumbai-400708,

(Maharashtra). Published at K-9, Connaught Circus, New Delhi-110001.

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From the editor-in-chief

Along with everything else, the Union Budget is always an exercise in expectation management. This year, after the UPA swept to victory in the Lok Sabha polls, expectations were running high—particularly in urban India. The mandate was expected to result in a budget with heavy emphasis on liberalisation, privatisation and headline reforms.

But the current finance minister, Pranab Mukherjee, is a different man from a different time. He is a very different finance minister from his predecessor, Harvard-educated P. Chidambaram. Mukherjee has spent more than four decades in Parliament and has an elephantine, institutional memory of the Indian economy and its politics. It is, therefore, no surprise that his Budget is a very political document whose target is the large section of non-urban Indians who have sent the UPA back to power.

Political expediency aside, Mukherjee still needed to address fundamental issues in the Budget to counter the slowdown in the Indian economy. In trying to do so there were only two ways to go: announce a big budget, throw incentives at manufacturing and industry and hope for the best. That would have been conventional economics. Mukherjee though believes in conventional politics and has chosen to bet on his voters.

So, spending has been increased on several common man platforms: the National Rural Employment Guarantee Act has received a 144 per cent hike, spending is up on the rural infrastructure programme Bharat Nirman by 45 per cent and on rural health by 17 per cent. While Mukherjee's and the UPA's politics and indeed their hearts may be in the right place, the numbers ask much tougher questions. What India faces is a 6.8 per cent budget deficit. In other words for every Rs 10 the Government has planned to spend, it will have to borrow Rs 4. The cost of this borrowing will be so high that of every rupee earned, more than Rs 3 will go into repaying interest.

Our cover story on the Budget for Bharat has been written by Managing Editor Shankkar Aiyar. We also called in the Board of INDIA TODAY Economists (BITE) to give us their insights into the Budget. We asked them if Mukherjee's Budget was political, populist or profligate and their forecasts for GDP, inflation and the rupee-dollar rate for the next eight months leading into the next financial. Interestingly, all our economists who are rarely unanimous agreed with the strategy to spend in rural India as they see it as inclusive and pro-growth. They are, however, just as worried about the borrowings. Aiyar says, "That Mukherjee is pro big-government should not be surprising given his admiration for Nobel laureate Gunnar Myrdal, the Swedish left wing economist."

It is clear to all that the Pranab Mukherjee Budget has very political roots. In fact, Mukherjee has announced a populist, pre-poll style Budget after the election. This must be a first of sorts. Given that the finance minister worked alongside the original Mrs Gandhi, it is not hard to see where the inspiration for this very big gamble comes from—the Nehruvian socialism that India seemed to have abandoned not so long ago. In the post-meltdown world though it doesn't matter what the 'ism' is, or as Deng said, what colour the cat is as long as it catches mice. Here is hoping Mukherjee's cat gives the Indian economy the flying leap that it needs.

Aroon Purie

(Aroon Purie)